

9-2h Repair and Improvements

Once a fixed asset has been acquired and placed into service, costs may be incurred for ordinary maintenance and repairs. In addition, costs may be incurred for improving an asset or for extraordinary repairs that extend the asset’s useful life. Costs that benefit only the current period are called

- revenue expenditures** (Costs that benefit only the current period or costs incurred for normal maintenance and repairs of fixed assets.)
- Costs that improve the asset or extend its useful life are **capital expenditures** (The costs of acquiring fixed assets, adding to a fixed asset, improving a fixed asset, or extending a fixed asset’s useful life.)

Ordinary Maintenance and Repairs

Costs related to the ordinary maintenance and repairs of a fixed asset are recorded as an expense of the current period. Such expenditures are *revenue expenditures* and are recorded as increases to Repairs and Maintenance Expense. For example, \$300 paid for a tune-up of a delivery truck is recorded as follows:

Repairs and Maintenance Expense				300	
Cash					300
Assets	=	Liabilities	+	Stockholders' Equity	
Cash				Repairs and Maintenance Expense	
300				300	

Extraordinary Repairs

After a fixed asset has been placed into service, costs may be incurred to extend the asset’s useful life. For example, the engine of a forklift that is near the end of its useful life may be overhauled at a cost of \$4,500, extending its useful life by eight years. Such costs are *capital expenditures* and are recorded as a decrease in an accumulated depreciation account. In the case of the forklift, the expenditure is recorded as follows:

Accumulated Depreciation—Forklift				4,500	
Cash					4,500
Assets	=	Liabilities	+	Stockholders' Equity	
Cash				Accumulated Depreciation	
4,500				4,500	

Because the forklift’s remaining useful life has changed, depreciation for the forklift will also change based on the new book value and useful life of the forklift.

Asset Improvements

After a fixed asset has been placed into service, costs may be incurred to improve the asset. For example, the service value of a delivery truck might be improved by adding a \$5,500 hydraulic lift to allow for easier and quicker loading of cargo. Such costs are *capital expenditures* and are recorded as increases to the fixed asset account. In the case of the hydraulic lift, the expenditure is recorded as follows:

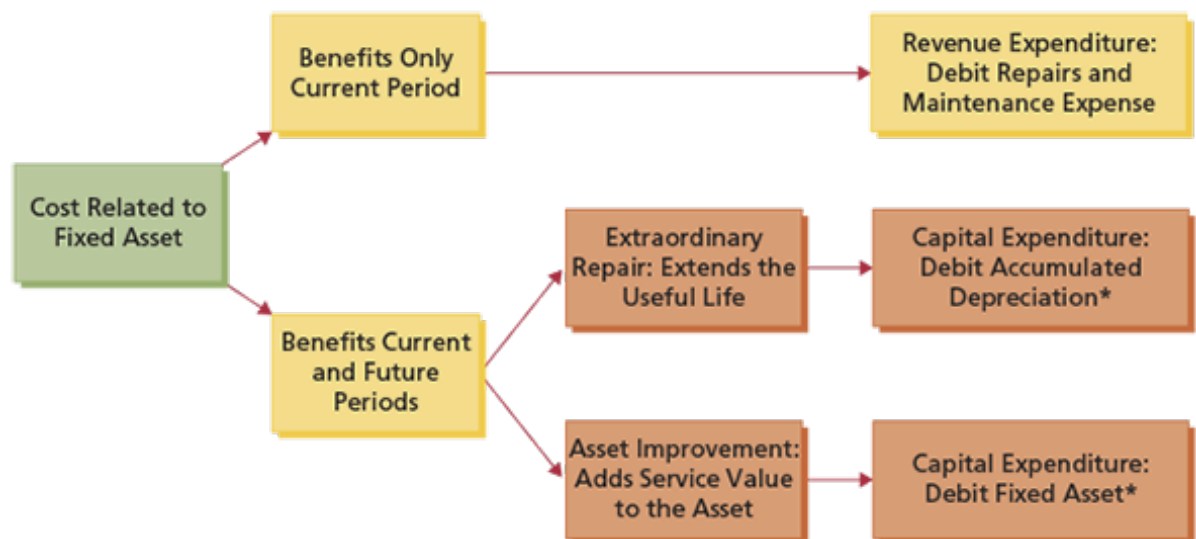
Delivery Truck		5,500	
Cash		5,500	
Assets		=	Liabilities + Stockholders' Equity
Cash	Delivery Truck		
5,500	5,500		

Because the cost of the delivery truck has increased, depreciation for the truck will also change over its remaining useful life.

The accounting for revenue and capital expenditures is summarized in [Exhibit 11](#).

Exhibit 11

Revenue and Capital Expenditures



Ethics in Action

Capital Crime

One of the largest accounting frauds in history involved the improper accounting for maintenance expenditures. WorldCom, the second largest telecommunications company in the United States at the time, improperly treated maintenance expenditures on its telecommunications network as capital expenditures. As a result, the company had to restate its prior years' earnings downward by nearly \$4 billion to correct this error. The company declared bankruptcy within months of disclosing the error, and the CEO was sentenced to 25 years in prison.

Chapter 9: Long-Term Assets: Fixed and Intangible: 9-2h Repair and Improvements

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